

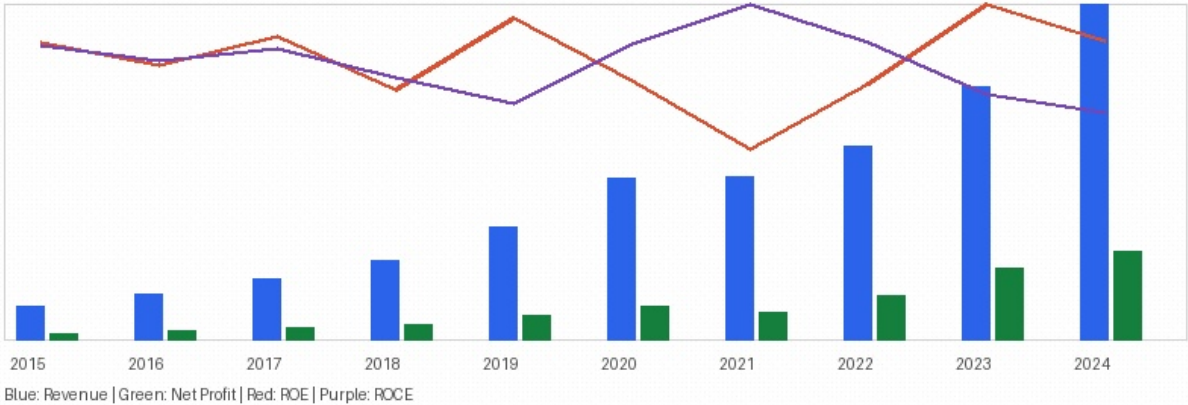
Bajaj Finance Ltd (BAJFINANCE)

ROE 18.84%	ROCE 4.36%	NPM 26.29%
D/E 3.82	Revenue CAGR 24.35%	FCF -79,931.00

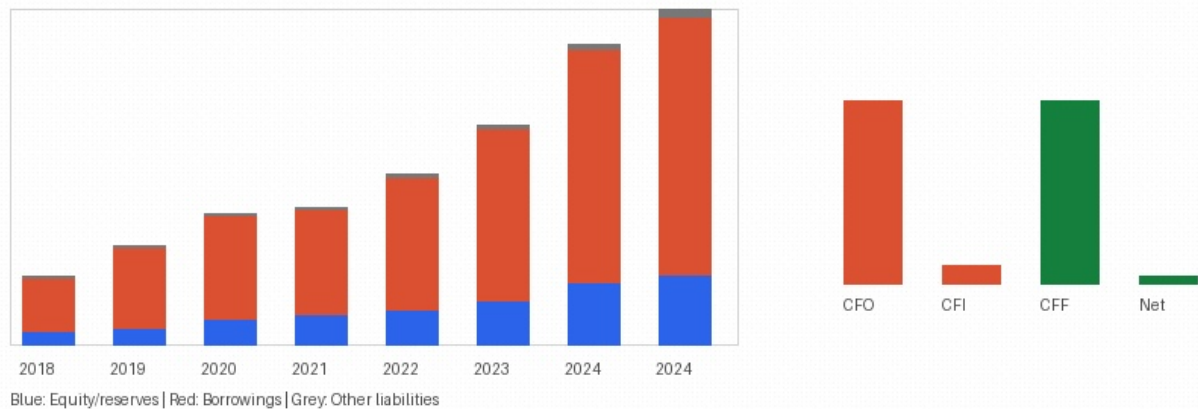
Sector: Financials | **Sub-sector:** Consumer Finance

Bajaj Finance is mainly engaged in the business of lending. BFL has a diversified lending portfolio across retail, SME and commercial customers with a significant presence in urban and rural India. It also accepts public and corporate deposits and offers variety of financial services products to its customers.

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	Free cash flow negative for 3 consecutive years raises concern about cash generation quality
Operating profit margin above 25% indicates strong pricing power and cost discipline	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Net profit compounding at above 20% over 5 years creates significant shareholder value	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt